

Fearnleys Dry Bulk Weekly

Jun 12, 2024

Bernhard Baardson

Capesize/Newcastlemax

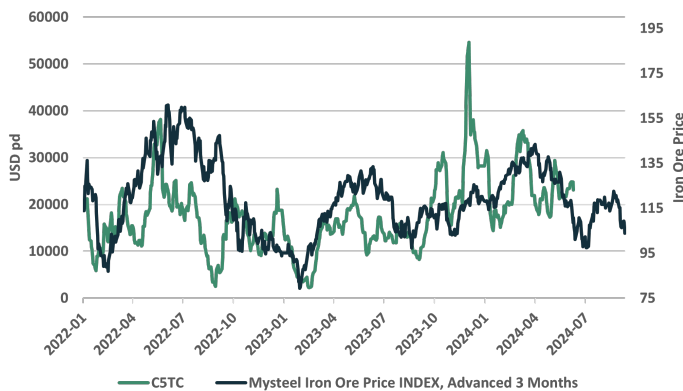
In our previous report two weeks ago, we wrote the following:

So far it seems like the support is in the low twenties rather than the high teens. Further, it still looks like the market is gearing up for a rally in June. China's imported iron ore consumption, iron ore prices and steel prices points towards that, and there is now also a significant number of vessels heading to or in Australia.

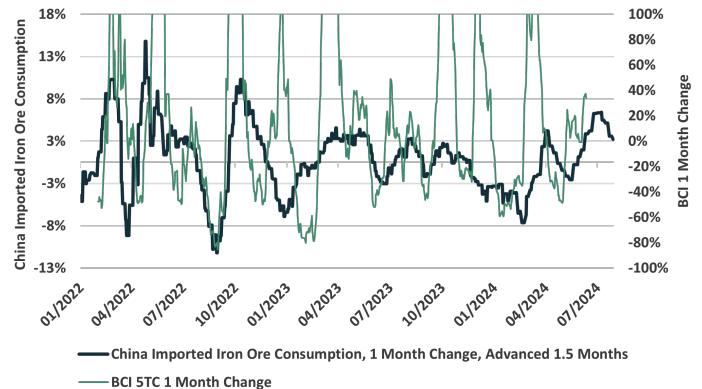
The market has wobbled a bit the last days, as the Pacific lost some momentum and as the potential for a ceasefire deal in Gaza raised the possibility of losing the added ton-time boost from the Suez Canal deviations. Going forward, we still think it looks like the market is going to rally. China's imported iron ore consumption lead, iron ore prices and steel prices suggest strength in the coming 2 to 3 months. Further, the number of laden vessels in the Atlantic heading to the Pacific has increased significantly the last weeks, to levels comparable to early January and early September last year.

Looking a bit further ahead, the recent drop in iron ore and steel prices suggest the market could be in for a negative surprise from late August through September.

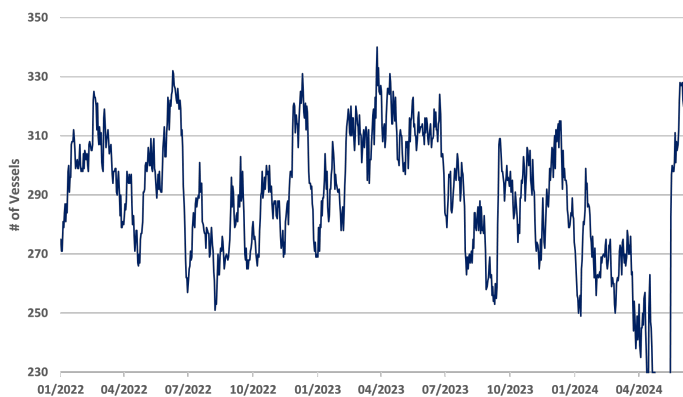
Iron Ore Price, Moved 3 Months Forward vs Capesize 5TC



China Imported Iron Ore Consumption, 1 Month Change, Moved 1.5 Months Forward vs Capesize 5TC 1 Month Change



Capes/Newcs Heading to or in Australia



Capes/Newcs Heading to or in Brazil



Panamax/Kamsarmax

In our previous report two weeks ago, we wrote the following:

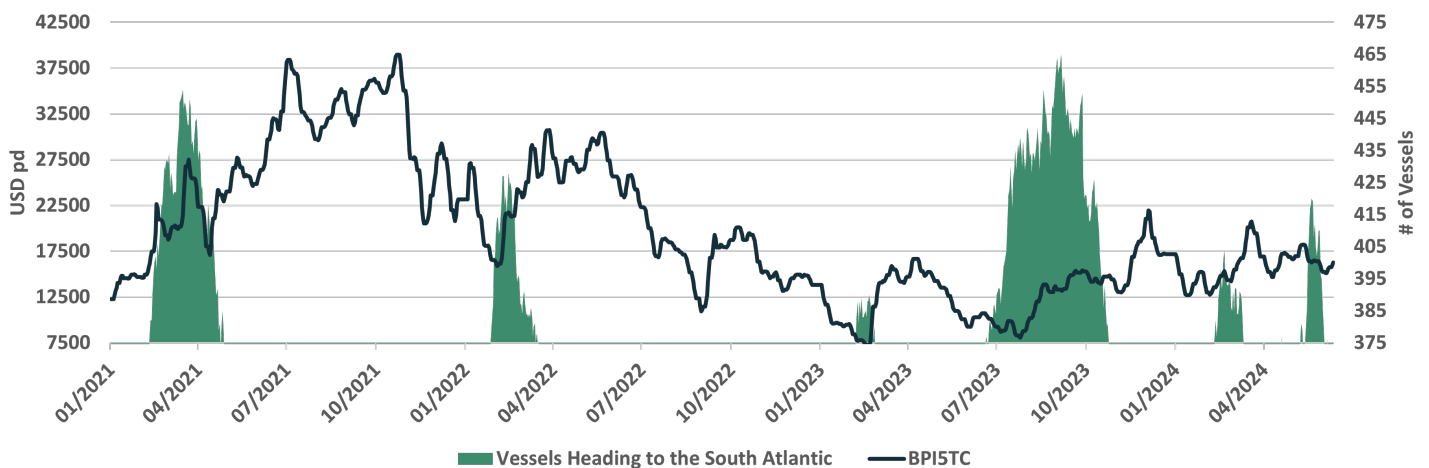
The situation remains the same this week, so one could say the countdown to a rally is now down to between 1 and 3 weeks, although one can never be 100% sure...On average, the next 2 weeks is the lowest market one will see for the remainder of the

year, as displayed on the bottom left chart.

It looks like a rally is starting within the time period we have suggested. The South Atlantic vessel absorption has been significant, which almost always results in a rally. Within the next 2 or 3 weeks, more grain shipments from the Black Sea can be expected, which might also coincide with increased coal demand in Asia.

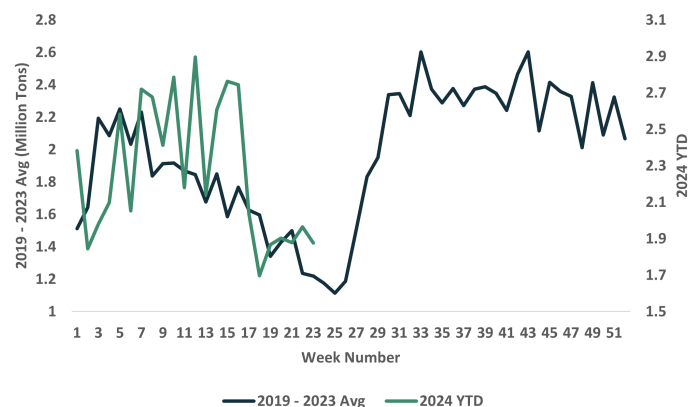
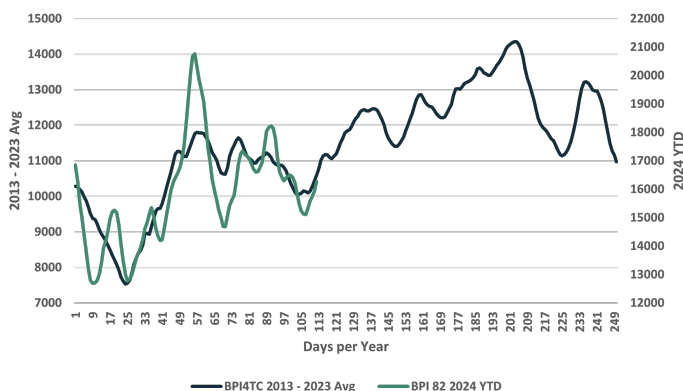
The market movement is tracking seasonality very closely this year. If this continues, the BPI5TC could be around 19.000 USD pd in a month or so.

Panamax/Kamsarmax Heading to or in the South Atlantic Exceeding 375 Vessels vs BPI82 5TC



Panamax/Kamsarmax Seasonal Average Market Movement

Handysize - Kamsarmax Black Sea Grains Shipment Seasonality



Supramax/Ultramax

In our previous report two weeks ago, we wrote the following:

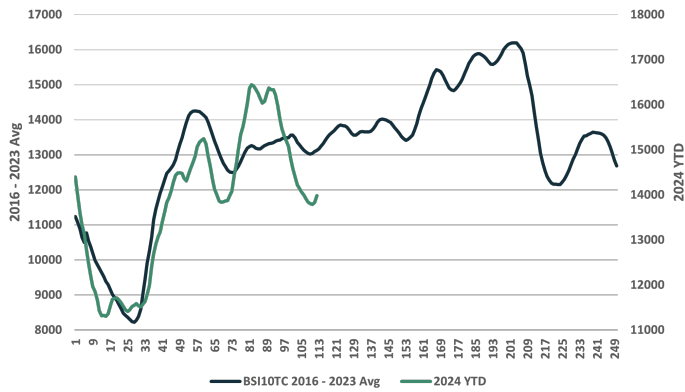
The market has weakened a bit more than we suggested, but we maintain our general bullish view for June onwards. Market fundamentals are being suppressed by the still very weak manufacturing activity in the Eurozone. The next few days, May manufacturing PMIs for the Eurozone will be released, which will give more clarity to the current situation and how swiftly a return to expansion can be expected. The only May report released so far is the one for Austria, which showed a clear improvement relatively speaking, although the report showed the manufacturing sector remained in contraction overall.

The May manufacturing PMIs for the Eurozone have now been released, and all reports pointed clearly to a demand recovery brewing.

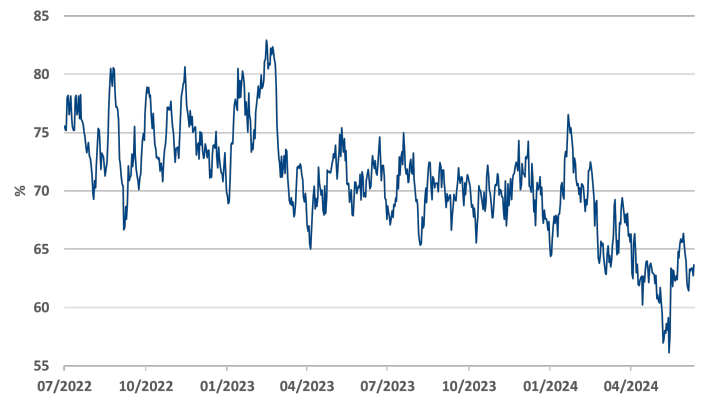


Otherwise, AIS data shows a further uptick in vessels heading to or in the South Atlantic. Like for the Panamax/Kamsar-max segment, some support is likely within 2 or 3 weeks from increased Black Sea grains shipments.

Supramax Seasonal Market Movement



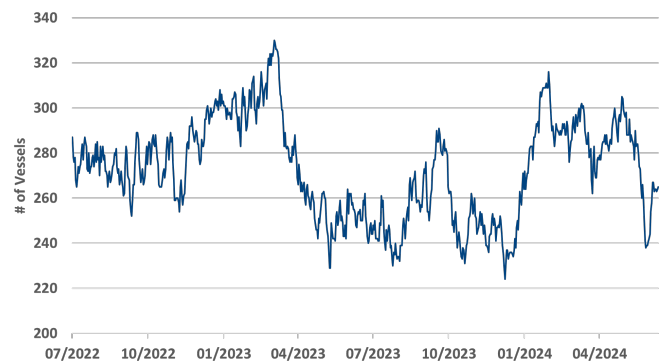
Supramax / Ultramax Ballaster /Laden Vessel Ratio



Supramax / Ultramax Heading to or in the South Atlantic



Supramax / Ultramax Heading to the North Atlantic / Europe Continent





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